NATIONAL COMPANY LAW TRIBUNAL
AMARAVATHI BENCH

PRESENT: HON'BLE SHRI MOHAMMED AJMAL - MEMBER TECHNICAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 25.09.2019 AT 10.30 AM

TRANSFER PETITION NO.	**TCP (CAA) NO. 136/230/AMR/TP/2019**
COMPANY PETITION/APPLICATION NO.	**CP(CAA) NO. 428/230/HDB/2019**
NAME OF THE COMPANY	**SAPA BS India Pvt Ltd (Transferor Co.1) & SAPA Building System Pvt Ltd (Transferor Co.2) & SAPA Precision Tubin Pune Pvt Ltd (Transferor Co.3) & SAPA Extrusion India Pvt Ltd (Transferee Co.)**
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	**230**

Counsel for Petitioner(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature
Mahadev Tirumagari	PCS	mahadev.pcs@gmail.com 9866620104	

Counsel for Respondent(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP admitted. Orders pronounced vide separate sheets.

25/9/19

MEMBER JUDICIAL

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IN THE NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
HYDERABAD

TCP (CAA) No. 136/230/AMR/2019
[CP(CAA)No.428/230/HDB/2019]
Connected with
CA(CAA)No.50/230/HDB/2019

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of

SAPA BS India Private Limited
Having its registered office at
255, 257 and 279, Industrial Park,
C-Block, Kuppam,
Andhra Pradesh – 517 425. ... 1st Petitioner/Transferor Company-1

SAPA Building System Private Limited
Having its registered office at
255, 257 and 279, Industrial Park,
C-Block, Kuppam,
Andhra Pradesh – 517 425. ... 2nd Petitioner/Transferor Company-2

SAPA Precision Tubing Pune Private Limited
Having its registered office at
255, 257 and 279, Industrial Park,
C-Block, Kuppam,
Andhra Pradesh – 517 425. ... 3rd Petitioner/Transferor Company-3

SAPA Extrusion India Private Limited
Having its registered office at
255, 257 and 279, Industrial Park,
C-Block, Kuppam,
Andhra Pradesh – 517 425. ... 4th Petitioner/Transferee Company

Date of Pronouncement of Order: 25.09.2019

CORAM

Hon'ble Janab Mohammed Ajmal, Member Judicial

Appearance:

For Petitioner(s): Mr. Mahadev Tirunagari, Practicing Company Secretary.

For Regional Director : Mr. K. Harish Reddy, CGSC

For Official Liquidator : Mr. M. Anil Kumar, CGSC

25/9/19

ORDER

1. The present Joint Company Petition under Section 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 is filed seeking sanction of the proposed Scheme of Amalgamation ('the Scheme') between the Petitioner Companies and their respective shareholders and creditors.

2. The Petitioner Companies had filed CA (CAA) No. 50/230/HDB/2019 before the Hyderabad Bench of the National Company Law Tribunal ("Tribunal"), seeking dispensation of convening meeting of Equity Shareholders and Secured Creditors of the Petitioner Companies and permission to conduct meetings of the Unsecured Creditors of the Petitioner Companies. The Tribunal vide its Order dated 07.03.2019 dispensed with convening Meetings of the Equity Shareholders, as all of them had given their consent for the same. It also dispensed with convening meetings of the Secured Creditors of the Transferor Company No.1 & 2 as there were no Secured Creditors. It was also dispensed with convening meetings of the Secured Creditors of the Transferor Company No. 3 and Transferee Company as the creditors were repaid by the respective companies and there was no need to hold the meeting. The Applicant Companies were directed to convene meetings of its Unsecured Creditors and appointed Mrs. C. Shilpa, Advocate as Chairperson and Ms. G. Sumathi, Advocate as Scrutinizer for the above said meetings.

3. In pursuance of the Order dated 07.03.2019, the following meetings were conducted:-

   a) Meeting of the **Unsecured Creditors of the Transferor Company No.1** conducted on 20.04.2019 at 3.00 PM at 255, 257 & 279, Industrial Park, C-Block, Kuppam, Andhra Pradesh – 517425. Mrs. C. Shilpa, Advocate and Chairperson of the Unsecured Creditors meeting, has filed her report. It is seen from the Report that the meeting was attended by Six (6) Unsecured Creditors present in

23/9/19

person/proxy and three (3) Unsecured Creditors participated in eVoting together holding the total value of Rs. 22,82,91,227/- voted in favour of the Scheme of Amalgamation. None of the Unsecured Creditors who attended the meeting voted against the Scheme, thus 85.50% of total value of Unsecured Creditors, voted in favour of Scheme.

b) Meetings of the **Unsecured Creditors of the Transferor Company No.2** conducted on 20.04.2019 at 9.00 AM at 255, 257 & 279, Industrial Park, C-Block, Kuppam, Andhra Pradesh – 517425. Mrs. C. Shilpa, Advocate and Chairperson of the Unsecured Creditors meeting, has filed her report. It is seen from the Report that the meeting was attended by Three (3) Unsecured Creditors holding the total value of Rs. 2,42,15,055/- voted in favour of the Scheme of Amalgamation. None of the Unsecured Creditors who attended the meeting voted against the Scheme. Thus 85.51% of total value of Unsecured Creditors, voted in favour of Scheme.

c) Meetings of the **Unsecured Creditors of the Transferor Company No.3** conducted on 20.04.2019 at 10.30 AM at 255, 257 & 279, Industrial Park, C-Block, Kuppam, Andhra Pradesh – 517425. Mrs. C. Shilpa, Advocate and Chairperson of the Unsecured Creditors meeting, has filed her report. It is seen from the Report that the meeting was attended by five (5) Unsecured Creditors present in person/proxy and twenty five (25) Unsecured Creditors participated in eVoting together holding the total value of Rs. 24,83,79,029/- Out of which 24, Unsecured creditors constituting 96.30% voted in favour of the Scheme of Amalgamation and One (1) Unsecured Creditor holding Rs. 31,12,836/- constituting 1.22% voted against the Scheme. Thus 96.30% of total value of Unsecured Creditors, voted in favour of Scheme.

d) The Meeting of the **Unsecured Creditors of the Transferee Company** conducted on 20.04.2019 at 1.00 PM at 255, 257 & 279, Industrial Park, C-Block, Kuppam, Andhra Pradesh – 517425. Mrs.

25/9/19

C. Shilpa, Advocate and Chairperson of the Unsecured Creditors meeting, has filed her report. It is seen from the Report that the meeting was attended by Twenty One (21) Unsecured Creditors present in person/proxy and Fifty Six (56) Unsecured Creditors participated in eVoting together holding the total value of Rs. 184,23,97,405/- constituting 85.53% voted in favour of the Scheme of Amalgamation. Three (3) Unsecured Creditors holding Rs.8,67,892/- constituting 0.04% participated through eVoting abstained from voting. Thus 85.53% of total value of Unsecured Creditors, voted in favour of Scheme.

4. The Petitioner Companies then filed the present Company Petition being CP(CAA)No.428/230/AMR/2019 before this Tribunal seeking sanction of the Scheme of Amalgamation with appointed date as 01.04.2018.

5. According to the Petitioner Companies, the present Scheme is proposed to enable the Transferee Company to integrate its business operations with the Transferor Companies which will lead to synergies of operations and a stronger and wider base for future growth/expansion. It will also result in economies of scale, reduction in overheads, administrative, managerial and other expenditure and increase in operational rationalization, organizational efficiency, and optimal utilization of various resources. The Scheme will also enable in improving organizational capacity and leadership, arising from the pooling of human capital and focus the diverse skills, talent and vast experience in specialized fields to compete successfully in an increasingly competitive industry.

6. Shri Mahadev Tirunagari, Practicing Company Secretary and authorised Representative for the Petitioner Companies has been heard.

7. Official Liquidator vide his Report dated 02.08.2019 while reiterating the averments made in the Petition submitted that the affairs of the Company appears to have not been conducted in a manner prejudicial to the interest of the members or to the public.

25/9/19

8. The Regional Director (South East Region), Ministry of Corporate Affairs vide his common representation dated 02.08.2019 observed the following and the Petitioner Companies replied for the same as detailed below:-

Sl. No.	RD's Observations	Reply of the Petitioner Companies by way of Memo dated 23.08.2019
1	The Directorate issued a letter dated 08.07.2019 to the Principal Commissioner of Income Tax, Hyderabad, till date no report in the matter has been received from them.	The Joint petition filed with the Hon'ble NCLT has been served o to all the Statutory Authorities including Income Tax Department. Apart from this; the Company has already published newspaper advertisement about the first hearing of the said petition. Since no objection were raised within the stipulated time period, it is deemed that they do not have any objections and is considered as deemed approval. Therefore, there is no necessity to obtain a written confirmation to that effect from the Income Tax Department.
2	The Directorate has received letter dated 15.07.2019 from the ROC pointed out certain observations as under:- a) The Transferor Company No.2 & 3 and Transferee Company having paid up capital of more than Rs.5 Crores, but not appointed Whole Time Company Secretary, thereby violated the provisions of Section 203 of the Companies Act, 2013. Hence requested that the Hon'ble Tribunal may be pleased to direct the Petitioner Companies to file an undertaking that they will file adjudication application for violation of Section 203 of the Companies Act, 2013.	The Transferor Company No.2 & 3 and Transferee Company have appointed Company Secretary on 29.03.2019, 29.03.2019 and 19.06.2014 respectively and thus complied with the requirements.

	b) Requested that the Hon'ble Tribunal may be pleased to direct the Petitioner/ Transferee Company, to comply with filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of Registrar of Companies.	The Transferee Company after the approval of the Scheme by the Hon'ble Tribunal, shall file the Form INC-28 along with the copy of the Order and the same will be filed with the prescribed fee on the revised capital in order to comply with the directions of the Tribunal.
	c) Requested that the Hon'ble Tribunal may be pleased to direct the Petitioner/ Transferee Company, to comply with filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of Registrar of Companies.	The Transferee Company after the approval of the Scheme by the Hon'ble Tribunal, shall file the Form INC-28 along with the copy of the Order and the same will be filed with the prescribed fee on the revised capital in order to comply with the directions of the Tribunal.
3	As per Clause 1.2 of Part-I of the Scheme, the appointed date is 01.04.2019. As per Section 232(6) of the Companies Act, 2013, the scheme under this Section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. However, Clause 1.4 of Part-I of the Scheme is contrary to Section 232(6) and needs modification and hence prayed the Hon'ble Tribunal may issue necessary directions to the Petitioner Companies.	Appointed Date for the purpose of this Scheme and for Income Tax Act, 1961, the "Appointed Date" means the open of business hours on 01.04.2018. In order to comply with the requirements of Section 232(6) of the Companies Act, 2013 and as instructed by RD as per their report, the company hereby undertakes to modify the effective date as under: "Effective Date" means a date from which it shall be effective and the scheme shall be deemed to be effective from the appointed date and not at a date subsequent to the appointed date and becoming effective subject to receipt of certified or authenticated copies of the orders of the NCLT sanctioning the Scheme and filed with the ROC by the Transferor and Transferee Companies. Any reference in this Scheme to the

25/9/19

		date of 'coming into effect of this Scheme" or "effectiveness of this Scheme" or "Scheme taking effect" shall mean the Effective Date.
4	Certain observations has been pointed out from Annexure to the Auditors Report of the Petitioner Companies with regard to disputes pending before the Customs excise and Service Tax Appellate Tribunal, CIT (Appeals), Mumbai, Commercial Tax Officer, Sales Tax Appellate Tribunal and Appellate Deputy Commissioner etc., and undisputed amount payable in respect of provident fund, state insurance, income-tax, service tax, sales tax, duty of customs, duty of excise, value added tax, cess etc., and hence prayed the Hon'ble Tribunal may issue necessary directions to the Petitioner Companies to file undertaking that they will pay the dues pending before various authorities.	The Transferee Company hereby undertakes to pay the dues as and when the demand is raised by the respective statutory bodies. Further to this, the Scheme has already mentioned about all the Liabilities of all Transferor Companies forming part of Transferee Company and shall be dealt accordingly. The same can be referred to Clause No. 4.4 of the Scheme.
5	Hon'ble Tribunal may be pleased to direct the Petitioner Companies to state whether they have complied with the provisions of FEMA/RBI, with regard to foreign shareholders.	Necessary Forms/Returns filed with the Reserve Bank of India as required under FEMA by all the Petitioner Companies enclosed with the memo at Page Nos.25 to 57.
6	The Transferor Company No.1 has not complied with the provisions of Section 12(3)(c) of the Companies Act, 2013 by not mentioning telephone No., fax No., e-mail and website addressed on its business letters/bill heads and hence the Hon'ble Tribunal may be pleased to direct the Transferor Company No.1 to file an undertaking that they will file	The Transferor Company-1 has used old letter head. After the implementation of new Companies Act, 2013, the new letter head was already prepared and a copy of the same is enclosed with the memo at Page No.58. Since, the Transferor Company is getting amalgamated with Transferee company, it is prayed the Tribunal to take lenient view on

25/9/19

	adjudication application before the ROC.	the violation of using old letter head.
7	As per Balance Sheet as at 31.03.2018 and 31.03.2017 there are huge losses in Transferor Company No.1 and Transferor Company No.2 and negligible exchange ratio is offered. Hence, the Hon'ble Tribunal may be pleased to direct the Transferor company No.1 and 2 to explain how the losses have arose and also to furnish from which period the losses have been arisen, with proper justification and supporting documents.	The reasons for the losses incurred by the Companies are as follows: a. The cost of purchase of trading items has been increased significantly as of Revenue. b. Provision for doubtful debts has increased over the years due to delays/default from customers to pay their dues to the company. The main reasons is because of the slowdown in the Building construction Activities. c. Foreign Exchange is (Loss)/Gain is one of main reasons from fluctuation of losses over the years. d. In the initial period the company has sold the goods with very less margin in order to gain the market share and to add new customers. e. The Company has imported materials with expectation of big orders, but those orders were not received due to the slow-down in the construction of high-end buildings etc. f. High fixed cost with expectation of increase in the operations of the company

In view of the above reply the Petitioner Companies prayed this Tribunal to sanction the Scheme of Amalgamation.

25/9/19

9. The Petitioner Companies enclosed a Certificate from Auditors namely M/s BASR & Associates LLP, stating that the Accounting Treatment proposed in the proposed Scheme is in conformity with Accounting Standard specified under Section 133 of the Companies Act, 2013.

10. Considering the entire facts and circumstances of the case and on perusal of the Scheme and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013. Hence ordered.

ORDER

11. The Petition be and the same is allowed with the following directions:-

a) The Scheme of Amalgamation with appointed date as 01.04.2018 is hereby sanctioned. The same shall be binding on the Petitioners and their respective Shareholders, Secured Creditors, Unsecured Creditors/Trade Creditors, Employees and all concerned.

b) This order shall not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges and fees if payable, or from any applicable permissions that may have to be obtained or compliances that may have to be made under law.

c) All concerned shall act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme forthwith.

d) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

25/9/19

e) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspapers in which previous publications were issued.

f) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Companies Act, 2013.

25/9/19

MOHAMMED AJMAL
MEMBER (JUDICIAL)